



Buyer Power



Buyer power refers to the power that buyers have over the industry. Buyers have high bargaining power if firms find it difficult to increase the prices in the industry. The customers can put pressure on the firm to keep the final price of the product low, and firms try to bring down the customer's bargaining power. If customers collectively can drive down prices, then it is a high customer bargaining power and vice versa.

Number of Buyers/Customers

(Single/Few/Many/Mass)

Concentration of Buyer	Buyer Power	Note
Only one or few buyers For eg. Original Equipment Manufacturers	 Buyer Bargaining Power High	Buyers are able to dictate the terms.
Large number of buyers For eg. Consumer Products	 Buyer Bargaining Power Low	No single buyer can dictate terms but collectively and firm can increase prices.

The concentration of buyers in an industry influences the bargaining power of buyers. If there are many buyers, the bargaining power of buyers is low.